

**ENGLISH** **LIVE**

**7**

# **COMPREHENSION & VOCABULARY**

**UPSC / BANK PO / SSC / OTHERS**

**SESSION - 7**

**17<sup>th</sup> January, 2017**



## On Interest Rates, Urjit Patel is Bang On

Timely warning on artificially lowering risk

Reserve Bank of India (RBI) governor Urjit Patel did the nation, not to speak of his own reputation, a major service by speaking up against large-scale lowering of interest rates by means of subventions from the Union Budget and against credit guarantees. In a well-functioning market, the interest rate offered to a particular enterprise includes, besides the cost of money in general, a risk premium that is tailor-made for that enterprise in its particular line of business, reflecting the likelihood of the said enterprise succeeding. Distorting interest rates is likely to end up misallocating resources.

Money has alternative opportunities for deployment. If a risky venture could attract capital because someone is willing to subsidise a part of its interest cost, it could, in the process, deprive another venture that has lower risk but does not have anyone to subsidise its interest cost, not just of capital, but also of land, workers, power, entrepreneurial energy—of a chance to form and get going.



The inherent risk, which cannot be mitigated by an interest subvention, might sink that project that did get funded, and the result would leave society poorer for not having funded the intrinsically less risky project in the first place. A similar logic applies to credit guarantees by the government.

Tampering with the cost at which capital is available to an enterprise is a recipe for misallocating and wasting resources, lowering welfare in general. Of course, interest subventions and credit guarantees are useful and necessary in small doses, to compensate for risk perception arising from lack of information and large transaction costs in resolution, in case of failure.

Coming, as the RBI governor's warning does, in the wake of the prime minister announcing significant interest subventions on housing and enhanced credit guarantees in his New Year Eve address, it makes the point that fear of political displeasure will not prevent Patel from making public his professional views on vital matters. Giving that message is as vital as the sense on interest rates, in the interest of the RBI's institutional image.

**THE ECONOMIC TIMES**  
13<sup>th</sup> January 2017



**DISCUSSION ON**  
**17<sup>th</sup> Jan (today)**



**DISCUSSION ON**  
**18<sup>th</sup> Jan (tomorrow)**

## Ring Fence RBI

*A negative effect of demonetisation has been harm to the central bank's reputation*

While one can debate the benefits and ill effects of demonetisation, harm to the RBI's reputation – and therefore a decline in its credibility – belongs indisputably to the negative side of the ledger. So much so that last week the central bank's employees, through their unions, wrote to governor Urjit Patel to protect RBI's autonomy. It is not just unions who are worried. Former governors YV Reddy and Bimal Jalan have also expressed concern.

Such concern stems from the manner in which RBI appears to have gone ahead with the decision to ban high value notes without much discussion, within a day of the government having reportedly 'advised' it to do so, as well as the general veil of opacity over its deliberations. It has, for example, been remarkably silent during the aftermath of demonetisation when it should have been in the driver's seat.



RBI is India's most important regulator. Its job is to not just control inflation but also be the first line of defence against macroeconomic instability. This makes it imperative for both Patel and the Centre to heed warnings.

Advanced countries have independent central banks; such separation of powers between monetary and fiscal authorities is what keeps an economy stable. India needs strong not weak institutions, and RBI should not be treated as a wing of the finance ministry. RBI's evolution and responsibilities are in keeping with an emerging economy. Unlike central banks in developed markets, RBI's functions span an even wider range. Consequently Patel needs to assert himself, and the government too needs to take certain measures to preserve RBI's autonomy.

One way of doing this is to define RBI's role and autonomy by statute. For example, it has been given a measurable target for inflation and independence on how to achieve this, with formal explanations called for if it fails. It should also be mandatory for RBI to be transparent, with deliberations of its central board being placed in the public domain. Simultaneously, the government must take its responsibility seriously by filling vacant positions on RBI's central board. It's imperative to shore up RBI's credibility in the eyes of investors and rating agencies, else vigorous drives by Prime Minister Narendra Modi as well as state governments such as Gujarat to garner investment for development and jobs will be seriously undermined.

**THE TIMES OF INDIA**  
16<sup>th</sup> January 2017

**LIVE**



## On Interest Rates, Urjit Patel is Bang On

Timely warning on artificially lowering risk

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Money has alternative opportunities for deployment. If a risky venture could attract capital because someone is willing to subsidise a part of its interest cost, it could, in the process, deprive another venture that has lower risk but does not have anyone to subsidise its interest cost, not just of capital, but also of land, workers, power, entrepreneurial energy — of a chance to form and get going. The inherent risk, which cannot be mitigated by an interest subvention, might sink that project that did get funded, and the result would leave society poorer for not having funded the intrinsically less risky project in the first place. A similar logic applies to credit guarantees by the government.



Tampering with the cost at which capital is available to an enterprise is a recipe for misallocating and wasting resources, lowering welfare in general. Of course, interest subventions and credit guarantees are useful and necessary in small doses, to compensate for risk perception arising from lack of information and large transaction costs in resolution, in case of failure.

Coming, as the RBI governor's warning does, in the wake of the prime minister announcing significant interest subventions on housing and enhanced credit guarantees in his New Year Eve address, it makes the point that fear of political displeasure will not prevent Patel from making public his professional views on vital matters. Giving that message is as vital as the sense on interest rates, in the interest of the RBI's institutional image.

# On interest rates, Urjit Patel is bang on

## Editorial

## THE ECONOMIC TIMES

### 13<sup>th</sup> January 2017



# On interest rates, Urjit Patel is bang on

- Reserve Bank of India (RBI) governor Urjit Patel did the nation, **not to speak of** his own reputation, a major service by speaking up against large-scale lowering of interest rates by means of subventions from the Union Budget and against credit guarantees.
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- Money has alternative opportunities for deployment. If a risky venture could attract capital because someone is willing to subsidise a part of its interest cost, it could, in the process, **deprive** another venture that has lower risk but does not have anyone to subsidise its interest cost, not just of capital, but also of land, workers, power, entrepreneurial energy — of a chance to form and get going.
- The **inherent** risk, which cannot be **mitigated** by an interest subvention, might sink that project that did get funded, and the result would leave society poorer for not having funded the **intrinsically** less risky project in the first place. Subvention, might sink that project that did get funded, and the result would leave society poorer for not having funded the intrinsically less risky project in the first place.
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- Of course, interest subventions and credit guarantees are useful and necessary in small doses, to compensate for risk perception arising from lack of information and large transaction costs in resolution, in case of failure.
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## On interest rates, Urjit Patel is bang on

THE ECONOMIC TIMES

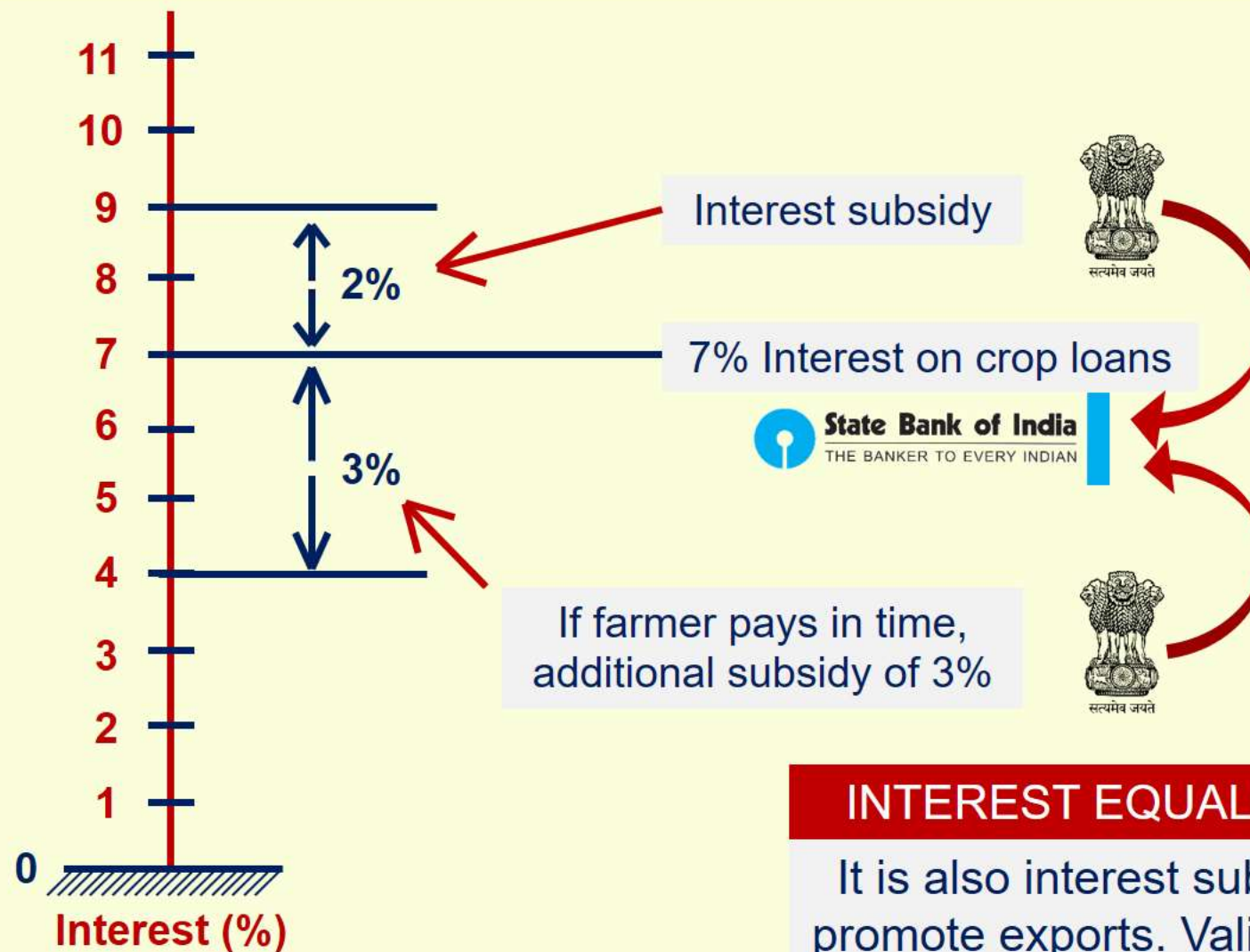
13<sup>th</sup> January 2017

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# INTEREST SUBVENTION SCHEME

LIVE

YEAR  
2015-16



## INTEREST EQUALISATION SCHEME

It is also interest subsidy of 3% so as to promote exports. Valid for 5 years from 1<sup>st</sup> April, 2015





## COLLATERAL

Limit Increased from 100 lakhs to 200 lakhs



## COLLATERAL

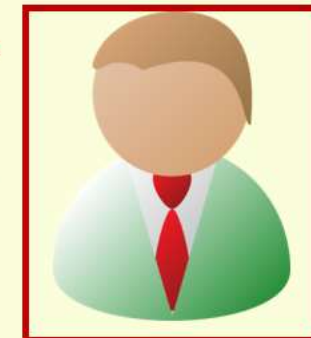
LIVE



**State Bank of India**

THE BANKER TO EVERY INDIAN

- **LENDER**
- **CREDITOR**



- **BORROWER**
- **DEBTOR**

## COLLATERAL

*This is the security given by the borrower while taking the loan*

*As MSMEs cannot give any collateral security, it is given by the Govt.*



*Not to speak of*



*It is hard to imagine a  
country that would use  
chemical weapons on its  
own people, **not to speak  
of** its neighbours*

*Not to speak of*



## Not to speak of

### POOR FAMILY



House Rent



School Fee

*The rent has to be paid, **not to speak of** school fee.*

**Not to speak of**

Further factor to be considered



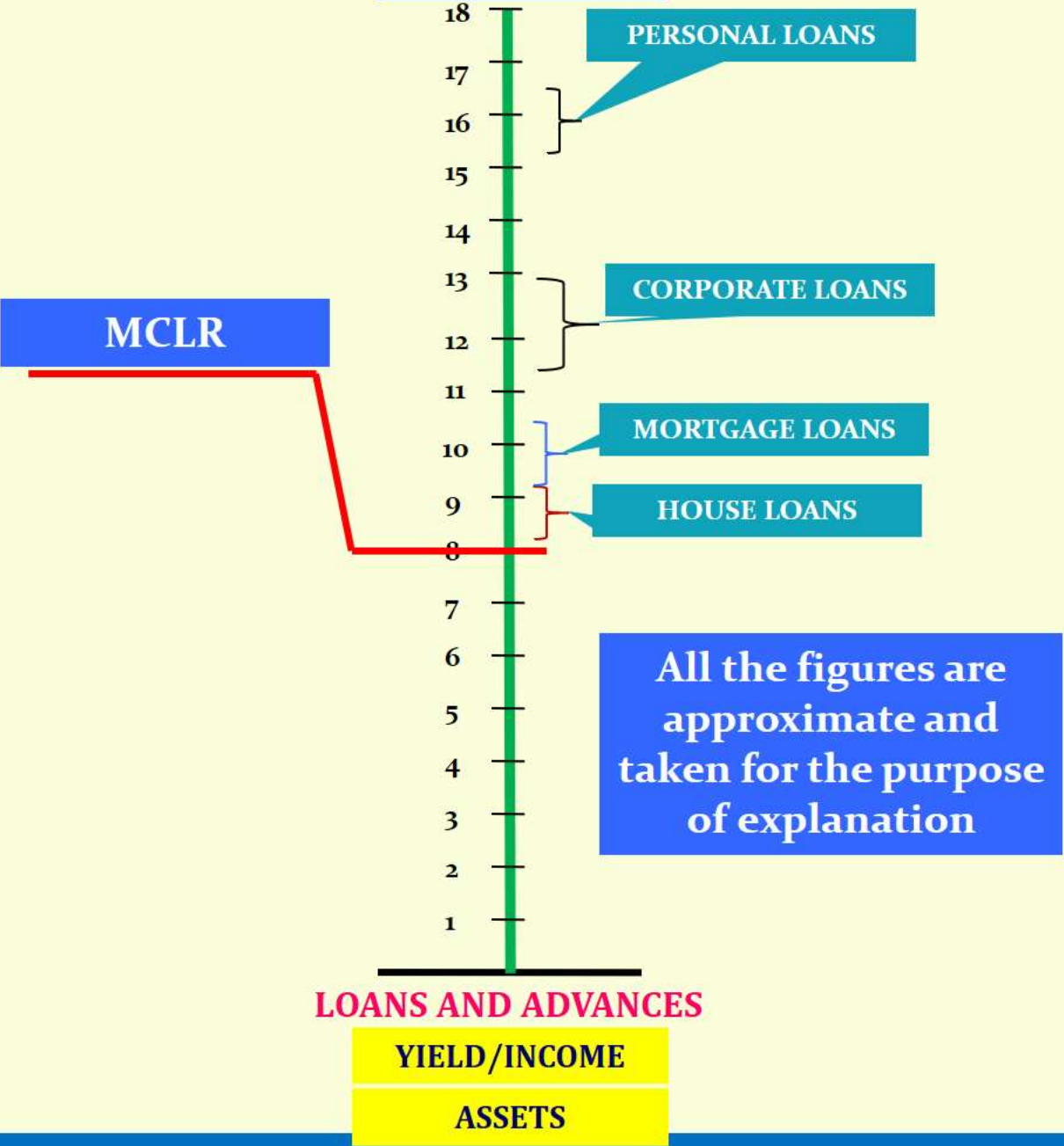
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**INTEREST IN %**

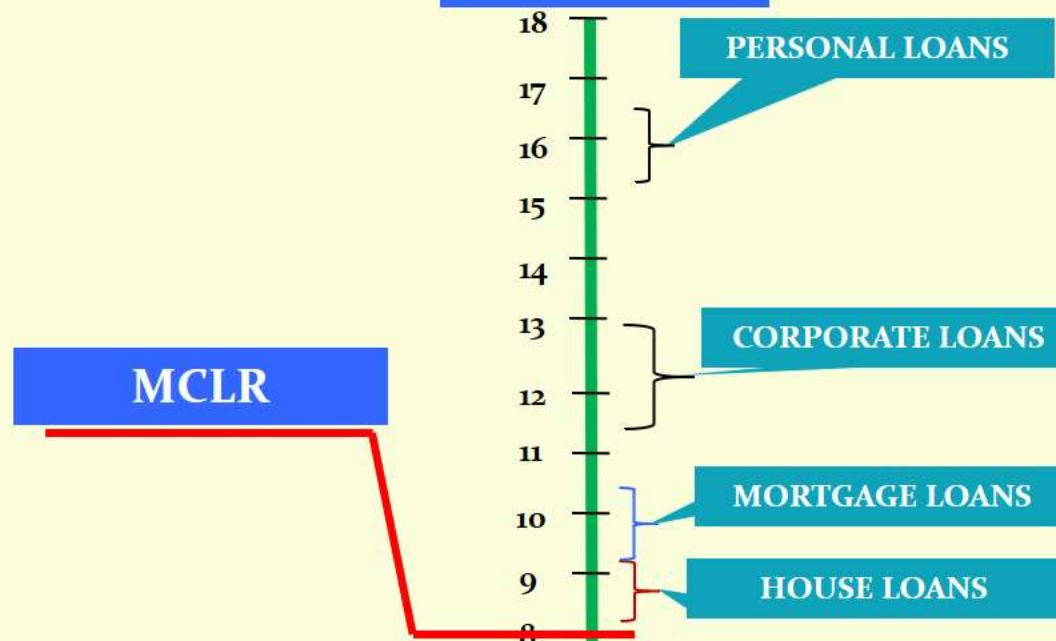
**LIVE**





INTEREST IN %

LIVE



All the figures are approximate and taken for the purpose of explanation

SPREAD DEPENDS ON RISK

LOANS AND ADVANCES

YIELD/INCOME

ASSETS



# Distorting

The article gave  
gross **distortion** of  
facts



**Distorting**

To change something from its original, natural condition or shape



# Misallocation



**Misallocation**

*Not to use in particular / desirable way*



**LIVE**



**Agriculture loan**



**House loan**



**Vehicle loan**



**Personal loan**

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# Deprive

A

RISKY



Housing Venture



Infrastructure /Highway

B

LESS  
RISKY

Deprive

*Taking something necessary away from something*



# Deprive

*Some citizens in China  
say that they are  
**deprived** of freedom of  
expression*



China

**Deprive**

*Taking something necessary away from something*

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# Inherent

A



Housing Project



B

## Inherent

- Essential character of something
- Existing as a natural or basic part of something



# Mitigate



Switchover to electric vehicles  
can **mitigate** global warming

## Mitigate

*To make something less harmful, pleasant or bad*



## Intrinsic



Diamonds have got high **intrinsic** value



Geography is the **intrinsic** part of the school curriculum



Paper currency has got no **intrinsic** value

## Intrinsic

*Essential nature of a thing / basic characteristics and extremely important*



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A similar logic applies to credit guarantees by the government. *Tampering* with the cost at which capital is available to an enterprise is a *recipe* for misallocating and wasting resources, lowering welfare in general.



# Tamper



Do not **tamper** with the machine



Do not **tamper** with the proof

**Tamper**

To change something without permission or without enough knowledge of how it works



# Recipe



## Recipe

*Set of instructions telling you how to prepare and cook food*



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## *In the wake of*

An enquiry committee was constituted **in the wake of** boat tragedy in Bihar



***In the wake of***

*Following something as a consequence*



# Vital



## Vital

*Extremely important, necessary for success or continued existence of something*



# Ring Fence RBI

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## DISCUSSION ON 18<sup>th</sup> Jan (tomorrow)

## THE TIMES OF INDIA

### 16<sup>th</sup> January 2017